Italy: energy security, economic opportunity and partnership priorities

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AI-generated from the data and checked against it; paper baseline as of 12 October 2026.

Summary

- Italy is most exposed in downstream coal and upstream coal, where its Energy Security is higher than only 14% and 21% of the other economies scored. A low energy access score pulls the downstream sector down.[1]
- Its strongest openings are in midstream gas, midstream oil and downstream batteries, where its Economic Opportunity is higher than 99%, 99% and 99% of the other economies scored. Strong trade scores lift the midstream sectors.[1]
- On the paper's weighting, its top Strategic Index sectors are upstream batteries, midstream batteries and upstream wind. Comparing priority with policy, midstream batteries is top priority with the most policy, while upstream batteries falls in the middle group on policy activity.[1]
- The Partnership Strength Index rates Germany highest for Italy, an export market and its 1st trade partner. China, its 2nd trade partner, ranks 40th.[1,2]

1. Energy security risks and why

Of Italy's 30 placed sectors, those comparable with other economies, 7 sit in the two low-energy-security corners. Of these, 5 are in the Upgrade corner, which pairs high opportunity with low energy security, and 2 in the Secure corner, where both are low. The paper's framework, after RMI (2025), associates the Upgrade corner with building domestic capability and the Secure corner with securing supply through trusted partners.[1]

Energy Security measures how well a country can rely on what it needs. Its lowest Energy Security percentiles are in downstream coal, upstream coal, downstream nuclear and upstream gas. It scores higher than only 14%, 21%, 26% and 34% of the other economies scored, respectively. In downstream coal, in the Secure corner, the score is low mainly because of energy access. Its consumption in this sector was 1.46 GJ per person in 2025, and its change was -58.8%, a measure on which it scores higher than only 9% of the other economies.[1,3]

In upstream gas, in the Upgrade corner, the score is low mainly because of energy imports and trade. Production minus consumption was -2.05 EJ in 2025, and the trade deficit in these goods was 1.5% of GDP in 2023. For context, its largest suppliers in 2024 were Algeria (43.0% of its imports) and Azerbaijan (15.8%).[1,2,3,4]

Its high-priority sectors are the high-opportunity, low-energy-security ones that the Strategic Index ranks highest. They are upstream batteries, midstream batteries and upstream electric grid. Their Energy Security sits just below the middle economy's: higher than 46%, 45% and 47% of the other economies scored. In each,

trade pulls the score down. The trade deficit in these goods was <0.1% of GDP, 0.1% of GDP and 0.2% of GDP in 2023, measures on which it scores higher than only 18%, 30% and 12% of the other economies.[1,4]

2. Economic opportunities and why

Italy's openings are broad: 27 of its placed sectors sit in the two high-opportunity corners, 22 of them in the Grow corner, which pairs high opportunity with high energy security. The paper's framework, after RMI (2025), associates the Grow corner with export promotion.[1]

Economic Opportunity measures how well placed a country is to create value. Its highest Economic Opportunity percentiles are in midstream gas, midstream oil, downstream batteries and midstream coal. It scores higher than 99%, 99%, 99% and 97% of the other economies scored in these sectors, respectively.[1]

In midstream gas, the score is high mainly because of trade and cost competitiveness. Its exports of these goods reached USD 8.31 bn in 2024, and its revealed comparative advantage is 1.73: above the neutral value, so these goods weigh more in its exports than in world trade. For context, its largest markets for these goods in 2024 were Iraq (16.4%) and the United States (11.4%).[2,5]

In downstream batteries, investment pushes the score up: on annual investment and on growth in investment it scores higher than 98% and 99% of the other economies.[1]

Its high-priority sectors also have openings. In upstream batteries and upstream electric grid, trade lifts the score. Export feasibility, a measure of how close these goods are to what Italy already exports well, is 0.42 and 0.39, higher than 99% and 97% of the other economies.[1,4]

3. Sectoral priorities and the existing policy posture

The Strategic Index ranks a country's own sectors by opportunity, security need, policy activity, stage and technology. On the paper's weighting, it ranks upstream batteries 1st among Italy's own sectors, scoring 0.64, almost tied with the next (0.002 apart). Its security-need term, 0.238, outweighs its opportunity term, 0.141. Next come midstream batteries (2nd), upstream wind (3rd) and downstream batteries (4th), each almost tied with the next (0.004, 0.002 and 0.002 apart).[1]

In the allied network design, the paper's model of shared coalition production, a member's allied pick is its best-ranked upstream or midstream sector on the Strategic Index after a resource-base screen. Italy's upstream batteries sector has no recorded resource base, so its allied pick is midstream batteries, ahead of upstream nuclear by 0.018.[6]

Setting the policy term aside and comparing priority with policy activity, midstream batteries, midstream electric grid and midstream solar are top priority with the most policy. The upstream batteries sector is in between: top third on priority but in the middle group on policy activity, with 2 International Energy Agency policy records naming its technology and stage. In downstream green hydrogen, it ranks 27th on priority but 9th on policy activity, and is bottom priority with the most policy. At the bottom, 7 sectors, among them upstream oil and upstream coal, are bottom priority with the least policy.[1,7]

The Climate Action Tracker, an independent rating of climate action, rates Italy, as part of the European Union, Insufficient (November 2024). Italy has 336 International Energy Agency policy records in all, 192 of them naming a technology.[7,8]

4. Partnership priorities and why

The Partnership Strength Index rates partners for Italy as a reliable supplier (Friendshore), an export market (Partnership Opportunity) and, for middle- and lower-income partners, a development partner (Development Potential). It rates Germany, the United States, France, Spain and Belgium highest, ranked 1st to 5th.[1]

Germany ranks best as an export market; the United States, France, Spain and Belgium each rank best as a reliable supplier. As a market, Germany scores best in upstream wind, midstream wind, upstream electric vehicles, midstream electric grid and midstream solar.[1]

The index and today's trade largely agree. On average across its energy-goods baskets in 2024, Germany is its 1st trade partner, France its 3rd, the United States its 4th, Belgium its 5th and Spain its 7th. Each is a priority partner with strong ties today, and each votes in the same bloc as Italy at the United Nations. Italy shares the G7, NATO and the Minerals Security Partnership with Germany, but only NATO with Spain. An exception is China, its 2nd trade partner: a strong tie today that the index ranks lower (40th), and they vote in opposite blocs at the United Nations.[1,2,9,10]

As a partner to the coalition, Italy itself ranks 6th of 192 economies. In the allied network design, its derived shares include 2.6% of the coalition's designed production in midstream green hydrogen and 2.5% in midstream gas.[1,6]

5. Data notes and caveats

Baseline as of 12 October 2026; details on the Country Insights page. Scores compare Italy with other economies in the same sector; they are not measures of risk or profit in absolute terms. All index values are the paper's baseline as of 12 October 2026; Strategic Insights recomputes them under other weightings. Strategic Index scores within 0.01 of each other are almost tied: small changes in the data or the weights can swap their order. Trade figures count trade with other EU members. The Climate Action Tracker rates the EU as a whole; Italy carries the EU's rating. In the allied network design the European Union is one producer; Italy's shares are derived from its weight within the EU. Many allied picks are close calls: in the paper, 37% of them are within 0.01 of the runner-up. Italy's counts leave out the EU's own 438 International Energy Agency policy records.

Sources

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5. United Nations, UN Comtrade Database, exports to World by reporter, 2024 (2024 data); attribution; https://comtradeplus.un.org/.
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10. Economic-security agreements: G7, NATO, Indo-Pacific Economic Framework, Minerals Security Partnership (and Forum), U.S. free-trade agreements (compiled by the authors from official membership lists).

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Allied Industrial Base Explorer, Country Insights: Italy